7.6 Volatility Trading Language

Definition 7.6 (Vol Bid / Vol Offered)**.** If traders say **vol bid**, **catching a bid**, or **ripping/exploding**, they mean implied volatility is moving up. If they say **vol offered** or **vol smashed/smoked**, they mean implied volatility is moving down.

7.7 Teenie

Definition 7.7 (Teenie)**.** A **teenie** refers to a very low-priced option, often one that is traded primarily for movement risk or asymmetric payoff reasons.

8 How the Trading Floor Operates

8.1 Trading Pits and Product Locations

Definition 8.1 (Trading Pit)**.** A **trading pit** is the designated physical area where traders gather to trade a particular product.

Remark 8.1. Historically, pits were literally tiered areas where everyone trading the same product stood together. If someone needed to trade a given option or future, they knew exactly where to go.

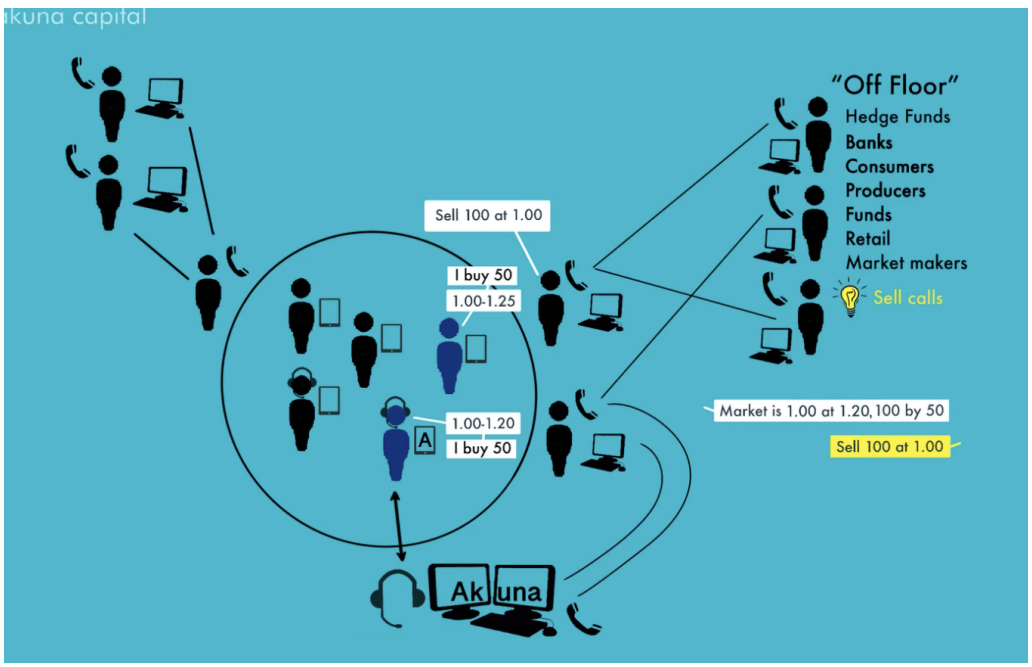

Figure 3: Off-floor participants communicate with brokers, who relay orders into the crowd. The pit concentrates liquidity and information in one place.

8.2 Who Stands on the Floor

Market makers, brokers, and other active floor traders stand in or around the pit. Modern market making firms often connect their floor traders to screen traders electronically, so that both sides of the firm are seeing the same values and market information in real time.

Remark 8.2. Even though pit trading looks chaotic from the outside, it is structured. Participants know where each product trades, who the major brokers are, and how information moves between the crowd and outside customers.

8.3 How an Order Reaches the Floor

Example 8.1 (Requesting a Market)**.** Suppose an off-floor customer wants to sell May 20 calls. Instead of immediately revealing that they are a seller, they may first ask a broker,

"How are the May 20 calls?"

This means they want the crowd to make a two-sided market.

The broker then turns to the crowd and asks for a market. The market makers respond with their bids and offers, and the broker relays the best bid and best offer back to the off-floor customer.

Remark 8.3. This matters because the customer has not yet revealed direction. By first asking for a market, they can receive a fair two-sided quote before disclosing whether they want to buy or sell.

8.4 How a Trade Happens

Example 8.2 (Selling Into the Bid)**.** Suppose the broker relays back the market

$$1.00 \text{ at } 1.20, \quad 100 \text{ by } 50.$$

This means the best bid is 1.00 for 100 contracts and the best offer is 1.20 for 50 contracts.

If the customer now says

"Sell 100 at 1.00,"

then the order trades against the participants bidding 1.00.

Remark 8.4. The broker is central here. The broker collects quotes from the crowd, communicates with the off-floor participant, and announces the resulting trade back into the market.

8.5 Trade Checking and Recording

After the trade occurs, the involved parties write up the trade details, including price and quantity. The broker also records the trade on behalf of the off-floor customer.

Remark 8.5. This record-keeping step is necessary because floor trading is fast and verbal. The parties may already be focused on the next trade, so the written tickets are what allow the trade to be checked and confirmed afterward.

These tickets are then matched by the firms and checked against one another. Once all sides agree on the details, the trades are sent to the clearinghouse for official processing and record-keeping.